SIMULATED
Asset Management

Covenant breach investigation

Agent: **Private Credit**

OPENING PROMPT

```
Check for covenant breaches across the portfolio. Show me any borrowers with breaches or headroom below 10%.
```

The demo date is the latest price date in the Snowflake Public Data share at build time, and positions are month-end. Agents answer from live data, so figures, names and rankings in your environment can differ from the examples in this script.

Business Context Setup

Persona: Sarah, Head of Private Credit at Simulated Asset Management **Business Challenge**: When covenant breaches are flagged, the credit team must rapidly assess severity, review cure provisions, examine compliance certificates, and prepare committee recommendations. **Value Proposition**: AI-driven covenant breach investigation consolidates quantitative data, legal provisions, and compliance history into a single skill-guided workflow.

Agent: `AM_private_credit_copilot` **Skill**: `covenant-monitoring` **Data Available**: Covenant tracking with breach/waiver/cure history (480 tests, 15 borrowers, Dec 2024 – Sep 2026), credit agreements and amendments (24 chunks), compliance certificates (90 chunks, 6 per borrower), borrower financials (180 quarters)

Demo Flow

Scene Setting: Quarterly compliance certificates have arrived and the monitoring system has flagged covenant stress: a handful of borrowers are offside, with remedies (equity cures and waivers) already being consumed, plus a tail of borrowers running tight. Sarah needs to investigate before the weekly credit committee meeting.

Step 1: Covenant Breach Detection (Skill Step 1)

User Input:

PROMPT

```
Check for covenant breaches across the portfolio. Show me any borrowers with breaches or headroom below 10%.
```

What Happens:

- Agent loads `covenant-monitoring` skill via `server_skill`
- Skill Step 1: `credit_portfolio_analyzer` queries all covenant breaches and tight headroom

Expected Response:

- Headline: **8 borrowers with covenant issues — 4 in breach, 4 more with tight headroom (<10%)**
- Breach summary table: Borrower | Covenant | Threshold | Actual | Headroom | Status
- **In breach** (negative headroom):
  - **Orion Retail Group** — offside on all four tests (leverage, interest coverage, fixed charge coverage, CapEx); named as the dominant concern
  - **Velocity Logistics Holdings** — leverage and fixed charge coverage, with its other tests also tight; named as the next priority
  - **Pinnacle Software Solutions** — interest coverage only
  - **Redwood Hospitality Group** — fixed charge coverage, a marginal miss

- **Tight** (<10% headroom, still compliant): Meridian Healthcare Group, Sterling Manufacturing Corp, Atlas Building Products, Pacific Food Holdings

A note on status labels. The tracked `STATUS` set is Compliant, Tight, Waiver Granted, Equity Cure and Breach, and `Breach` is in use: it marks a test that is offside before a remedy is agreed, as with Orion's first leverage breach. Once a remedy is in place the label moves to `Equity Cure` or `Waiver Granted`, so at the latest test date most offside tests carry a remedy label. The agent counts them as breaches on headroom, which is correct — the covenant is offside and the status names the remedy.

- **STOPPING POINT**: Agent offers 4 options:
  1. **Deep-dive a specific borrower** (full covenant history + financials)
  2. **Review cure provisions** (credit agreement equity cure, waiver terms)
  3. **Check management commentary** (compliance certificate narrative)
  4. **Generate credit committee summary** (structured severity + recommendation)

Talking Points:

- Skill-driven stopping point lets user direct the investigation naturally
- Portfolio-wide screening identifies all issues in one pass
- Headroom calculation and breach detection automated

Step 2: Borrower Deep-Dive (Skill Step 2a)

Presenter picks: "Deep-dive Orion Retail Group" — the portfolio's most distressed name, offside on all four covenants and the only borrower ever to have carried the formal `Breach` status. Velocity Logistics is the natural alternative if you want a less extreme case.

User Input:

> **PROMPT**
>
> `Deep-dive Orion Retail Group - show me covenant trajectory over the last 4 quarters`

Expected Response:

- Quarterly covenant performance with trend (improving/deteriorating)
- Waiver and equity cure history, showing the escalation path from Compliant through Tight and Breach to Equity Cure and Waiver Granted

Orion's arc is the strongest part of this scenario: every test moves from compliant or tight into progressively deeper breach quarter after quarter, against thresholds of 5.5x Max Total Leverage, 1.80x Min Interest Coverage, 1.20x Min Fixed Charge Coverage and a $95M CapEx cap, with leverage offside throughout and sitting above the 5.7x PIK gate by the latest test. The agent attributes it to a shrinking earnings base (falling revenue, EBITDA and free cash flow) rather than rising debt, and observes that cures and waivers are being consumed while headroom keeps widening to the downside. Expect a Critical / Deteriorating framing.

Note: the agent may answer this and later steps by re-issuing SQL over the same semantic view rather than visibly re-invoking `credit_portfolio_analyzer`*. That is the same tool and the same view — not a fallback to raw tables.*

Step 3: Cure Provisions (Skill Step 2b)

User Input:

> **PROMPT**
>
> `Review the cure provisions in Orion's credit agreement`

What Happens:

- `search_credit_agreements` retrieves equity cure provisions, events of default, PIK terms

Expected Response:

- Cure mechanism: equity cure by the sponsor (Ares Management), added to EBITDA for covenant calculation, capped at a small lifetime number of cures with a consecutive-quarter limit, funded shortly after the compliance certificate

- PIK toggle at a stepped-up margin for a limited number of quarters, **electable only if total leverage is at or below 5.7x** and there is no existing Event of Default
- Other flexibility: negative-covenant baskets and no call protection (prepayable at par)
- Two red flags matched against actual usage: cures have run in consecutive quarters, which appears to exceed the consecutive-cure limit and leaves little lifetime capacity; and the PIK toggle is closed

The strongest moment in this scenario. The agent works out that the PIK toggle requires leverage at or below 5.7x while Orion is already above it, and concludes the toggle is unavailable — an inference no single field states. It reads a provision, compares it with current performance, and tells you a remedy is off the table. It also flags the cure-limit question for Legal rather than asserting a default. Let it land.

Step 4: Management Commentary (Skill Step 2c)

User Input:

> **PROMPT**
>
> `What is management saying about the deterioration? Check the compliance certificates.`

Expected Response:

- Management's explanation, remediation plans, forward outlook
- Comparison to prior quarter narrative

Note: the certificate's own covenant table may label a test `BREACH` *where the tracking table records the remedy (*`Equity Cure` *or* `Waiver Granted`*) for the same figures. Both are defensible, so do not be thrown if the labels differ on screen.*

Step 5: Credit Committee Summary (Skill Step 2d)

User Input:

> **PROMPT**
>
> `Generate the credit committee summary for Orion`

Expected Response:

- Structured recommendation: Severity | Trend | Root Cause | Available Remedies | Recommended Action
- Supporting evidence from all prior steps

No new tool calls are needed here; the agent synthesises from the thread. Say so — it shows the four preceding steps did their job.

Scenario Wrap-up

Business Impact Summary:

- **Response Time**: Covenant investigation reduced from days to minutes
- **Completeness**: Every relevant document and data point surfaced automatically
- **Governance**: Documented analytical trail with structured stopping points

Technical Differentiators:

- **Skill-Driven**: `covenant-monitoring` skill with STOPPING POINT after breach detection
- **Document + Data Fusion**: Structured data + credit agreements + compliance certificates
- **Synthesis**: Agent combines multiple tool outputs into committee-ready recommendations